Calendar Line 2

Case Name: Gatchalian v. CKS Prime Investments, LLC, et al. (Class Action)
Case No.: 21CV391898

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged unlawful debt collection practices. On December 14, 2021, plaintiff Harriet Gatchalian ("Plaintiff") began this action by filing a class action complaint.

On July 23, 2024, Plaintiff the operative second amended class action complaint ("SAC") against defendants: CKS Prime Investments, LLC ("CKS"), Webcollex, LLC ("Webcollex"), Cawley & Bergmann, LLC ("C&B"), National Recovery Associates, Inc. ("NRA"), and Balbec Capital, LP ("Balbec") (collectively, "Defendants"). The SAC asserts the following causes of action: (1) violation of Business and Professions Code section 17200 (against CKS, Balbec, and Webcollex); (2) violation of the California Fair Debt Buying Practices Act ("CFDBPA") (against CKS, Balbec, and Webcollex); and (3) violation of the Rosenthal Fair Debt Collection Practices Act ("RFDCPA") (against all Defendants).

On August 22, 2024, Defendant NRA filed a demurrer to the third cause of action in Plaintiff's SAC. On November 22, 2024, the court issued an order overruling NRA's demurrer.

On December 6, 2024, Defendant Balbec filed a motion for sanctions, seeking (among other things) nonmonetary sanctions in the form of a dismissal. The motion is currently scheduled to be heard on April 30, 2025.

Now before the court is Plaintiff's motion for class certification. Defendants C&B and NRA have submitted a joint opposition to the motion, and Defendants CKS and Balbec have submitted a separate joint opposition to the motion. Plaintiff has submitted a reply.

II. Motion for Class Certification

Plaintiff moves to certify a class of:

> All persons with addresses in California against whom Defendants collected a charged-off consumer debt originated by LendingClub Corporation and originally owed to WebBank, which was sold or resold to CKS on or after January 1, 2014, during the period beginning June 19, 2017, through the date of class certification.

Plaintiff further seeks to certify a subclass, defined as:

> All persons with addresses in California against whom Defendants collected or attempted to collect a charged-off consumer debt on behalf of CKS or Balbec, which was originated by LendingClub Corporation and originally owed to WebBank, which was sold or resold to CKS or Balbec, on or after January 1, 2014, during the period beginning December 14, 2020, through the date of class certification.

Defendants CKS and Balbec oppose Plaintiff's motion, urging that the proposed class and subclass are overbroad and not ascertainable, common questions of law and fact do not predominate, typicality is not demonstrated, plaintiff cannot adequately represent the class, numerosity is not satisfied, and a class action is not superior to individual lawsuits.

Defendants C&B and NRA also oppose Plaintiff's motion, contending that Plaintiff cannot establish a community of interest, the merits of Plaintiff's claim are enmeshed with class issues, common questions of law do not predominate, common issues of fact are outweighed by individualized facts, and Plaintiff has not met her burden to demonstrate numerosity against C&B and NRA.

A. Legal Standard

As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, internal quotation marks, ellipses, and citations omitted (*Sav-on Drug Stores*).)

California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ….” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) The court must examine all the evidence submitted in support of and in opposition to the motion “in light of the plaintiffs’ theory of recovery.” (*Department of Fish and Game v. Superior Court* (2011) 197 Cal.App.4th 1323, 1349.) The evidence is considered “together”: there is no burden-shifting as in other contexts. (*Ibid.*)

B. Numerous and Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

> puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel*, *supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel*, *supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified … by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel*, *supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV,* *Inc.* (2009) 178 Cal.App.4th 966, 975-976 ["The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV's own account records. No more is needed."].)

Here, Plaintiff contends that at least 3,746 putative have already been identified from Defendants' records, thus demonstrating that the class is both numerous and ascertainable. (Memorandum, p. 10:2-22.) Plaintiff further argues that Defendants have implicitly disclosed that there are at least 3,476 class members, demonstrating that joinder of all members of the class is impracticable. (*Ibid.*)

Defendants CKS and Balbec argue that the class and subclass are not ascertainable because they include members irrespective of whether Defendants collected or attempted to collect a consumer debt from them without proof of ownership. (CKS and Balbec Opposition, p. 9:14-28.) Defendants contend there is no differentiation between putative class members who were injured and those who were not because a class member does not need to demonstrate violating conduct to be included in the class. (*Ibid.*) Defendants further argue that the 3,476 figure is taken from a discovery response representing the number of accounts purchased by defendant LendingClub, and that it does not represent the number of people that any Defendant attempted to collect debt from without proof of ownership. (*Id.* at p. 10:1-14.)

"Class certification is properly denied for lack of ascertainability when the proposed definition is overbroad and the plaintiff offers no means by which only those class members who have claims can be identified from those who should not be included in the class. [Citations.]" (*Miller v. Bank of America, N.A.* (2013) 213 Cal.App.4th 1, 8 (*Miller*).) In *Miller*, "the trial court properly denied class certification because Miller failed to define an identifiable class of bank customers whose accounts were debited *unlawfully*." (*Ibid.*, italics original.) Defendants CKS and Balbec contend *Miller* is directly on point because Plaintiff's class definitions here are not necessarily limited to people affected by Defendants' collections or attempted collections that were in violation of the CFDBPA or RFDCPA. (*Id.* at p. 11:1-11.)

In reply, Plaintiff argues that Defendants' reliance on *Miller* is misguided because the facts are distinguishable. (Reply, p. 9:15-16.) Plaintiff asserts that the illegality of the bank's collection activities in *Miller* could not be determined without individualized inquiries as to each account holder. (*Id.* at p. 9:16-17.) Plaintiff contends that the facts here are distinguishable because she alleges that Defendants bought specific consumer accounts from a specific originator and did not receive the electronic promissory note evidence those debts. (*Id.* at p. 9:18-20.) Plaintiff argues that, according to the SAC's allegations, every consumer in the identified portfolio of accounts was subjected to the Defendants' unlawful collection activity. (*Id.* at pp. 8:10-15, 9:20-25.)

Here, the court is not persuaded that Plaintiff has identified a significant distinction between the facts here and those in *Miller.* Plaintiff asserts that the gravamen of the class claims is that none of the electronic promissory notes evidencing the alleged debts of the class members were ever transferred to Defendants. While this allegation may be asserted in the SAC, it is not encompassed by the proposed class definitions. Because the class definitions make no reference to unlawful conduct, they "offer no means by which only those class members who have claims can be identified from those who should not be included in the class." (*Miller*, *supra*, 213 Cal.App. at p. 7.) In sum, Plaintiff offers no authority in support of her theory that allegations regarding the Defendants' business model, not encompassed by a class definition, can be sufficient to limit the scope of a class definition that would otherwise be overbroad.

For the forgoing reasons, the court finds that Plaintiff has not met her burden under Code of Civil Procedure section 382 with respect to establishing an ascertainable class. In the interest of efficiency, the court will address the remaining factors.

C. Community of Interest

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores*, *supra*, 34 Cal.4th at p. 326.) Defendants contend that none of the factors are satisfied here.

1. *Predominant Questions of Law or Fact*

For the first community of interest factor, "[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged." (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also give due weight to any evidence of a conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) "As a general rule if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages." (*Hicks*, *supra,* 89 Cal.App.4th at p. 916.) However, our Supreme Court has "cautioned that class treatment is not appropriate if every member of the alleged class would be required to litigate numerous and substantial questions determining his individual right to recover following the 'class judgment' on common issues." (*Wilson v. The La Jolla Group* (2021) 61 Cal.App.5th 897, 908, internal citations and quotation marks omitted.)

Plaintiff contends that common issues predominate here because the putative class is united by common issues of fact and law arising from Defendants' collection practices that violate the CFDBPA and RFDCPA. (Memorandum, pp. 11:12-12:16.) Plaintiff contends the proof of the class members' claims will turn on issues regarding Defendants' collection attempts, conduct, and practices with respect to class members, and not on the circumstances or characteristics of individual members. Plaintiff argues that Defendants' collection practices are unlawful in the same way as to each putative class member. Plaintiff also identifies the following as common issues of law: (1) whether Defendants are debt buyers and/or debt collectors; (2) whether Defendants collect defaulted, charged-off consumer debts without possession or control of the electronic promissory notes evidencing the debt being collected, as required by California Civil Code section 1788.13, subd. (l) and 1788.52, subd. (b); and (3) whether Defendants attempted to collect defaulted, charged-off consumer debts without actual ownership of the debt being collected, as required by California Civil Code section 1788.13, subd. (l) and 1788.52, subd. (b).

Defendants CKS and Balbec contend that none of the issues identified by Plaintiff are common to each member of the class, and none results in common answers throughout the class. (CKS and Balbec Opposition, p. 12:5-14:8.) First, Defendants argue that Plaintiff brings her claims against numerous Defendants without differentiating between them in her class definitions. Defendants point out that the proposed classes include people from whom any of the Defendants collected or attempted to collect a debt. Thus, a putative class member might only have a relationship with one Defendant and would still be encompassed by the definition even if each other Defendant was a debt collector or buyer or did anything to violate the laws at issue. Therefore, Defendants CKS and Balbec contend that whether all Defendants are debt buyers or collectors is not a common issue for all class members.

Next, Defendants CKS and Balbec contend that each putative class member will be required to prove that Defendants did not have sufficient access to a document establishing the class member's agreement to their debt. Civil Code section 1788.52, subd. (b), provides:

> A debt buyer shall not make any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer has access to a copy of a contract or other document evidencing the debtor's agreement to the debt. If the claim is based on debt for which no signed contract or agreement exists, the debt buyer shall have access to a copy of a document provided to the debtor while the account was active, demonstrating that the debt was incurred by the debtor. For a revolving credit account, the most recent monthly statement recording a purchase transaction, last payment, or balance transfer shall be deemed sufficient to satisfy this requirement.

Defendants point out that a debtor seeking to enforce liability under the subdivision must establish what kind of debt is at issue. The answer to this question will determine what kind of "contract or other document evidencing the debtor's agreement to the debt" is required to avoid liability under this section. Defendants argue that, assuming that all the alleged debts were obtained through a signed form contract, each class member will have to prove that Defendants did not have access to that contract or other document evidencing the debtor's agreement to the debt. Defendants assert that even if this requirement were included in the class definitions, it would still require individualized inquiry into each class member's specific debt and the corresponding documents that were available to Defendant with regard that specific debt.

Defendants CKS and Balbec emphasize that it was only through Plaintiff's own individualized inquiry that she became aware that Defendants were allegedly collecting on her debt without possession or control of the electronic promissory note. Defendants argue that Plaintiff has not presented evidence that the entire class was subjected to the same collection efforts by the same Defendants with the same access to the same document evidencing agreement to the debt for each class member. Defendants contend individual inquiries predominate over class issues, rending the class claims unmanageable. Defendants rely on *Duran v. U.S. Bank National Assn.* (2014) 59 Cal.4th 1, 30 (*Duran*) for the proposition that, "[o]nly in an extraordinary situation would a class action be justified, where, subsequent to the class judgment, the members would be required to individually prove not only damages but also liability."

Similarly, Defendants C&B and NRA contend that "resolution of the 'possession or control' or 'access to' issue is unique to each class member and it is the issue that is critical to the viability of the class claims." (C&B and NRA Opposition, pp. 4:27-5:1.) They further contend that consideration of the merits is appropriate at the class certification stage in this case because resolution of the whether Defendants had possession or control or access to the requisite documentation is enmeshed with the class claims and must be resolved on an individual basis. (*Id.* at p. 5:4-24.)

Notably, Plaintiff's reply is silent in response to Defendants' above arguments regarding predominance, despite offering robust arguments responding to other issues raised by Defendants. The court finds Defendants' arguments regarding the predominance of individualized inquiries and the unmanageability the class claims to be persuasive, particularly considering the lack of a trial management plan. "[C]lass treatment is not appropriate if every member of the alleged class would be required to litigate numerous and substantial questions determining his individual right to recover following the class judgment on common issues. [Citations.]" (*Duran*, *supra*, 59 Cal.4th at p. 28; see also *Reyes v. Board of Supervisors* (1987) 1986 Cal.App.3d 1263, 1275 [the questions of ascertainability and manageability may be intertwined; when the unmanageability of a class action is essentially without dispute, it may foreclose class certification].) Therefore, the court finds that Plaintiff has not met her burden with respect to establishing the predominance of common questions of law or fact.

2. *Adequacy and Typicality*

"Adequacy of representation depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The fact that a class representative does not personally incur all the damages suffered by each different class member does not necessarily preclude the representative from providing adequate representation to the class. (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 238, disapproved of on another ground by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status. (*Ibid.*)

"Although the questions whether a plaintiff has claims typical of the class and will be able to adequately represent the class members are related, they are not synonymous." (*Martinez v. Joe's Crab Shack Holdings* (2014) 231 Cal.App.4th 362, 375 (*Martinez*).) "The test of typicality is whether other members have the same or similar injury, whether the action is based on conduct which is not unique to the named plaintiffs, and whether other class members have been injured by the same course of conduct." (*Ibid.*, quoting *Seastrom v. Neways, Inc.* (2007) 149 Cal.App.4th 1496, 1502.)

Here, Plaintiff contends that her claims are typical because Defendants directed the same collection campaign against her and all the other members of the putative class. (Memorandum, pp. 12:18-13:15.) She argues that the only difference between the collection against her and against the rest of the putative class is the consumer's personal identification information and the amount of debt owed, which are not elements of the causes of action. Plaintiff further contends that the class claims rest almost exclusively on Defendants' standard business practices that violate the CFDBPA and the RFDCPA.

Defendants CKS and Balbec contend that Plaintiff has not demonstrated typicality because the proposed class and subclass do not require a showing of any conduct implicating any statute to be included as a class member. (CKS and Balbec Opposition, pp. 14:9-15:23.) Defendants further contend that Plaintiff's claims are not typical because she sought verification of her debt from Defendants and there is no mention of such verification in the proposed classes. In reply, Plaintiff persuasively argues that her verification of her own debt does not render her claims atypical because her individual claims based on the failure to provide adequate verification are in addition to the asserted class claim. Defendants' remaining arguments are directed less toward the typicality of Plaintiff's claims and toward the ascertainability and predominance questions, already addresed. The court finds that Plaintiff has sufficiently established typicality because her claims and those of the putative class are based on the "same common course of conduct." (*Martinez*, *supra*, 231 Cal.App.4th at p. 375.)

Plaintiff further contends that she and her counsel will fairly and adequately represent the class. (Memorandum, pp. 13:16-14:13.) Plaintiff asserts that her counsel is qualified to conduct the pending litigation and that her interests are not antagonistic to the class. Plaintiff's attorneys provide declarations persuasively demonstrating their experience in prosecuting consumer class action litigation.

In opposition, Defendants CKS and Balbec argue that Plaintiff cannot adequately represent the class, based primarily on isolated excerpts from her deposition testimony. (CKS and Balbec Opposition, pp. 15:24-17:17.) The court finds little merit to this line of argument. Plaintiff persuasively argues in reply that Defendants' attacks on her adequacy rely upon cherry-picked quotes from her deposition and unfairly hold her to the standard of a trained legal professional. (Reply, pp. 1:22-8:5.) The supplemental deposition testimony provided by Plaintiff gives context to her answers and demonstrates that she understands her responsibilities as a class representative. Accordingly, the court finds that the issues of typicality and adequacy do not foreclose Plaintiff's certification motion.

D. Superiority

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid*.) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid*.) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, Plaintiff argues that a class action is superior because individual litigation of the class members’ claims would be impracticable and unduly burdensome to the courts and could lead to inconsistent or contradictory judgments. (Memorandum, pp. 14:14-16:20.) Plaintiff further contends that class members and the Defendants share a common interest in minimizing the costs of litigation. Nevertheless, as discussed above, the court is not persuaded that common questions of law or fact predominate. Accordingly, the court likewise finds that Plaintiff has not met her burden of establishing that a class action is the superior method for adjudication of this lawsuit.

Plaintiff has requested that any denial of the motion be without prejudice so that she may obtain additional discovery. Accordingly, the court DENIES the motion for class certification without prejudice.

IV. Conclusion

The motion for class certification is DENIED without prejudice.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 3

Case Name: Ngo v. Intuitive Surgical, Inc., et al. (Class Action)
Case No.: 22CV397297

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On April 25, 2022, plaintiff Vinh Ngo ("Plaintiff") began this action by filing a class action complaint against defendants Intuitive Surgical, Inc., Intuitive Surgical Operations, Inc., and Ian Martin, Inc.

On July 11, 2022, Plaintiff filed the operative first amended class action complaint ("FAC"), asserting the following causes of action: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Overtime Wages; (3) Failure to Provide Meal Periods; (4) Failure to Permit Rest Breaks; (5) Failure to Provide Accurate Itemized Wage Statements; (6) Failure to Pay Wages Timely During Employment; (7) Failure to Pay Wages Due Upon Separation of Employment; (8) Violation of Business and Professions Code §§ 17200, et seq.; and (9) Enforcement of Labor Code §§ 2698, et seq. ("PAGA").

On December 20, 2022, Defendant Ian Martin PBC dba Raise Recruiting (erroneously sued as Ian Martin, Inc.) ("Ian Martin") filed a motion for an order compelling Plaintiff to arbitrate his individual claims, dismissing his class claims and representative PAGA claim, and staying any claims not dismissed pending resolution of the individual arbitration. Defendants Intuitive Surgical, Inc. and Intuitive Surgical Operations, Inc. filed notice of joinder of Ian Martin's motion. On April 11, 2023, the court issued an order granting the request for dismissal of Individual and Class Action Claims Without Prejudice. Consequently, only Plaintiff's PAGA claim remained pending. On June 15, 2023, the court issued an order denying the motion to compel arbitration, finding that the entirety of Plaintiff's PAGA claims is expressly excluded from the parties' arbitration agreement.